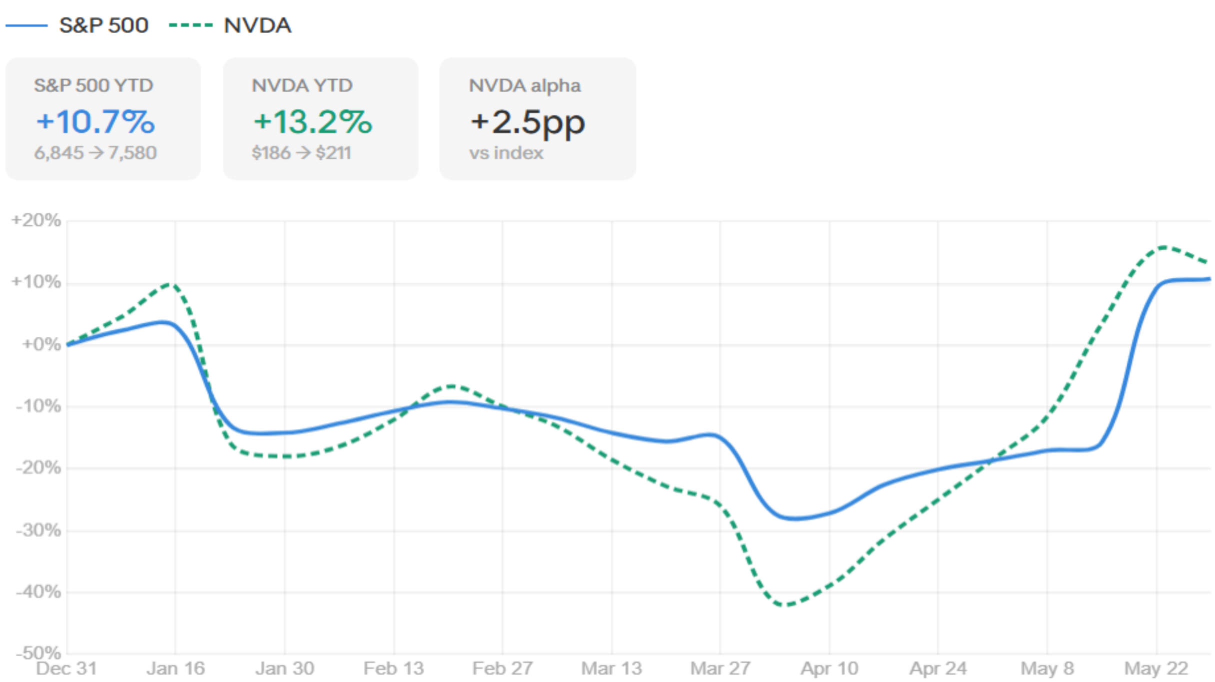
May 31st, 2026

Bubbles and Bottlenecks

A little over a month has passed since we last spoke, and the AI-led bull market continues its effortless run from the March 31st pivot. Although recent earnings from leaders have been impressive, and the market seems to be taking any macro hurdle in stride, this run has surely shifted into a momentum rally. I have no issue with that, as momentum can last much longer than you or I can anticipate. My only caveat is that momentum-driven rallies are fragile in a lot of ways, and can quickly flip once said leaders begin to crack. Simply put, all the price action we've seen since the March bottom still relies on our market leaders. You can generalize that statement now to include "semis" as they are once again the de facto leading sector in 2026. We've preached the idea that if leaders do not go anywhere, neither will the market. The good thing for us is that Mr. Market is world class when it comes to rotating into dormant leaders, always at seemingly the most opportune time. Through these mechanics, he is able to keep a market at all-time highs.



Indexed to 100 at Dec 31, 2025 close. Weekly approximations; confirmed closes May 29: SPX 7,580 · NVDA $211.14.

Since posting recent earnings on May 20th, the market leader NVDA has cooled off, and the market has done a good job of pumping other names to maintain all time highs. We made the comment in our October memo that we "believe a slow down in the growth rate of NVDA will be the first siren. Until then we ride the wave." Before 2025, NVDA was unanimously viewed as a cyclical company. I guess there is no perceived endpoint for intelligence demand these days.

While they are in position to make enormous amounts of money, I struggle to see how NVDA will be able to defend their margins moving forward. The growth rate in 2026-2027 is known, 2028-2029 is what's currently being debated. For now, I see no cracks in the market that would give me concern that this bubble is beginning to deflate. Every day I see dramatic moves across smaller names that tell me this bubble could very well continue through the summer and into the latter part of the year. If you want an example of the hysteria we are seeing, look at the stock charts for names that are currently linked to the word "bottleneck". Anything that is perceived as such is up multi-fold in 2026 alone.

Continuing on the topic of momentum and bottlenecks, a few examples are stocks like MU, SNDK, ALAB, MRVL, and BE. For reference, the YTD returns are 214%, 569%, 92%, 145%, and 248%, respectively. Underlying fundamentals have helped drive these stocks to unforeseen, yet arguably warranted, levels. In SNDK's case, the below visual adds evidence as to why the stock is up over 4000% in the last twelve months. With that being said, anyone can review the respective charts and determine there appears to be some air building.

SNDK — quarterly EPS & sales

Actuals through Mar-26 · Estimates beyond

QUARTER	EPS ($)	% CHG	SALES ($M)	% CHG
Jun-24	0.93	—	1,760.0	—
Sep-24	1.56	—	1,883.0	—
Dec-24	0.83	+145%	1,876.0	+13%
Mar-25	-0.30	-218%	1,695.0	-1%
Jun-25	0.29	-69%	1,901.0	+8%
Sep-25	1.22	-22%	2,308.0	+23%
Dec-25	6.20	+644%	3,025.0	+61%
→ Mar-26	23.41	+7,903%	5,950.0	+251%
Jun-26 est	23.38	+7,962%	6,622.1	+248%
Sep-26 est	28.81	+2,262%	7,753.8	+236%
Dec-26 est	31.02	+400%	8,328.0	+175%
Mar-27 est	28.14	+20%	7,789.9	+31%

The names mentioned above have been the hottest stocks in the world for much of the last year and ones we've mentioned more than a few times during that period. If you are ever looking for investment ideas, focus on ones making new dramatic highs. In my experience, those institutionally selected names tend to keep on winning in a surprising fashion or at least until it becomes obvious to everyone why. Of course, you can always anchor yourself in fundamental analysis but *valuations during re-rating periods are moot, and withholding investments because of hysterical valuations will cause you to miss every potential giant*. That is extremely tough for any investor to adhere to. Most hold tight the heuristics of investing legends from a stock market reality that no longer exists. This argument can be made even more so in today's time, when so much of our market is automated and manipulated entirely. Furthermore, investing in high-valuation names bets on growth *duration* rather than the current rate. While the S&P 500 sits at historically high levels due to elevated 2027 growth projections (15–17%), these forward rates simply pull terminal value forward. The market is fairly priced for this expansion; it *should* look expensive right now. The real question is how long this growth persists. If it holds steady, the market will remain 'expensive' – a reality recent earnings continue to validate.

While I do not see immediate danger, I'm certainly expecting some volatility and potential retracement in the near-term. We've simply run too hard in recent months for that not to be the heavier probability. I've assigned some of the potential reasoning to SpaceX's IPO and what that signals for markets. We see this spillover occurring already in space related names experiencing undeserved runs on their stock. Take the ticker SPCE for example… one of the market's worst companies financially and quite literally a meme stock is somehow up almost 100% in 2026. That is all on the back of a perceived IPO from SpaceX. I followed this stock in 2020 when space names were IPO'ing via SPACs and can guarantee you it is used for nothing else other than siphoning money. When rubbish is bidding up, it signals to me the level we are currently at. Not that it's outright exhaustion or that it will end soon, but that pressure is rising and the avenues for institutions to suck profits from are becoming less realistic.

Now don't read the above and take from it that I'm anti-space or even SpaceX for that matter. I think it is tremendous the private wealth that a company like SpaceX can generate. I'm also aware that these days IPOs are a liquidity event for the friend group that seemingly owns everything in this country. Ask yourself if it is a coincidence that Elon is bringing a company to market just after we've pumped the market over $7.5T in two months? I can guarantee you that it is not. He somehow also had the entire index inclusion rules altered to the benefit of SpaceX. Every single indexed retirement account in America is going to be forced to buy SpaceX shares in a matter of months. From that reasoning, I can conclude that we are due for some whiplashy weeks once SpaceX goes public. You should expect to see erratic price action across big tech names and hopefully we are provided with opportunities to play them. Currently the odds sit at a 92% chance of a SpaceX IPO in June.

Follow Ups

In my experience, the best way to select individual stocks for a new market is to simply sit back and observe. You'll be able to watch in real time what names smart money is rotating into and what specific names they've donned as "winners".

We illustrated the above quote in practice during our February memo section titled "Early Leaders in 2026" when we made note of Intel (INTC) being selected as a new winner by institutions.

*Outside of those sectors, Intel (**INTC**) rose nearly 40% to start the year before selling off 20% after reporting earnings. Being that Trump has his fingers in this name, I believe it qualifies to be on your watchlist in some fashion.*

This once stalwart has returned over 140% in the four months since then, up over 225% this year alone. I view INTC as a symbol of the bubble we are currently in. The stock went from $18 to over $130 and the fundamentals certainly do not back it up. This was simply a bipartisan wagon for American security. That was basically all one had to understand to validate an investment in 2025. Still, you did not have to be early to this name to participate, simply taking note of strong performers out of the gate in 2026 would've allowed you to tag along with institutions as they bid this once neglected name into the stratosphere. Is this an investable name still? Not likely but with Trump's outfit involved, anything is plausible.

In my opinion, if the stock (PLTR) holds up at $130/share in the near-term, you can confidently assume it will see ATHs again.

We made the above comment in our April memo when discussing the vaunted Palantir (PLTR). Since then, the stock defended the $130 marker and finally felt sun on its face towards the end of May, returning 20% in the final week ($130 → $156). I view that as promising and my line in the sand of $130/share has prevailed to date. I slowly added in May below $140/share. I'd like to see a base build out convincingly in the $130-160/share range. I was not totally convinced the set up was there with software trading miserably for much of this year. To our luck, software has seemingly turned into a market leading sector again. All of this occurred in the last week. As we've mentioned before, MSFT and PLTR are barometers for the software sector as a whole. Both are trading very strongly in recent days and I maintain positions in both.

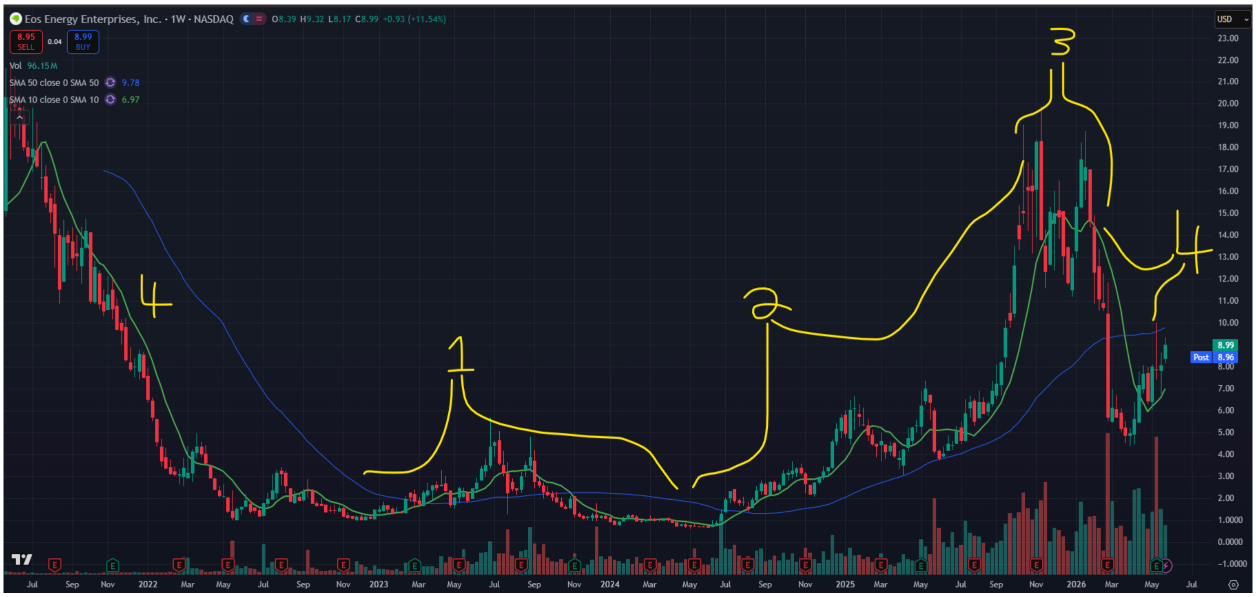
I view this (SHAK) as a long-term position and one that I can hopefully build out at lower prices. There is no debating whether the company is priced expensively in today's market. I will look to add more in the future should we see below my average price. From a technical perspective, the chart is beautiful and illustrative of a young, high-growth company. There is a sound chance this name (SHAK) sees below $70/share in the near future.

We introduced Shake Shack (SHAK) to readers in the February [memo](#) and dutifully made note of our expectation in the near-term. On May 7th SHAK released earnings that caused the stock to fall over 35%. Now trading at roughly $65/share, this has proved our previous note prescient. I listened to the call and my long-term opinion of this company was left unchanged. The stock reaction was tied to a lack of forward guidance and a drop in operating income caused by front-loaded corporate overhead, accelerated store openings, and beef inflation. My confidence lies in a sound average cost ($63/share) and the fact the company is executing at the restaurant level, with margins continuing to expand YoY. I think an entry here close to $60/share will serve the long-term holder very well.

**5Y visual of SHAK*

> *Reverting back to the mention of my average cost in EOSE, I can approach the short term much differently than an outsider. I took action to sell off some shares throughout December to secure over a 100% gain and make this a risk free holding of mine. I'm now in the boat of someone who wants to see this name get back as close to $5/share as possible but not lose the Stage 2 momentum entirely. A retracement to $7-8/share seems more plausible. Ultimately, I have this pegged as a target for some bigger company to acquire.*

I'm bringing back a stock (EOSE) that I've probably written on more over the last 16 months than most every other name. The above quote stems from our December [memo](#) in which we wrote extensively about this stock and our year-end actions surrounding it. I ended 2025 wishing EOSE would stick to the script and provide us another opportunity to buy shares. Much to my excitement, EOSE fell off a cliff (-60%) in February and ventured back below $5/share. At that point it got a spot back on my watchlist. I began adding to my long-term position around $6/share in early May. I've stressed the topic of stage analysis surrounding this name and technically, the stock is picking up steam again with lights flashing bright. My initial opinion of them getting acquired one day is left unchanged. If you are interested in this stock, please review my 2025 commentary surrounding our involvement.



**5Y visual of EOSE with descriptive stage analysis*

> *What I'm inferring is that you will have an opportunity to add this name (FSLY) whenever it bleeds aggressively. For example, after reporting stellar earnings, the stock sold off over 40%, much of which has been recovered in less than a week. I began adding this name (FSLY) around $20/share and will add more on any significant pullback. There will be many wild swings if you own this name, but it is one to buy when you see it down 10% in a week.*

I've found myself focusing more on FSLY throughout May as we were quickly given the opportunity we hoped for in the April memo. At this point, FSLY has gone from $20 to $32 per share (60%) and subsequently fell from $32 to $16 per share (-50%), all in less than 45 days. My starter position was at $20/share and I've since added in late May to lower my cost basis to $16.50/share. This is a stock that could be back above $30 very quickly if you can stomach the volatility. This remains a trade item for the most part but in the instance it pops dramatically, I'll always retain a little for the long haul. Currently catching a lot of eyes, this stock could give us a quick 50-100% gain.

Wrapping this review section up, I'm mentioning my twin boys RBRK and RDDT once again. These are my two sour performers in 2026, sitting at 2.81% and -23.44% on the year, respectively. The majority of this was due to the broader market selloff during the first quarter along with unwarranted inclusion in the software saga. Both of these names do not qualify for such and throughout the first half of this year my excitement in owning both has only grown more intense. Out of all my mentions, I spend the most time pondering these two investments. While their recent struggle is frustrating, the underlying quality of both companies makes them comfortable long-term holds. From the March 31st pivot, RBRK has returned 46% and RDDT is lagging a tad, up only 19%. We discussed our purchases of RBRK in the April memo. My average cost on RBRK is now $48/share. I've recently added aggressively to RDDT in May right at $140/share. Granted, I've owned this stock since the $60s, but the recent buys felt abnormally easy. While I'm equally excited about RBRK's upcoming earnings, RDDT is the one I'm most focused on due to it being a laggard. In my opinion, this one will continue being a winner and we are approaching an area where it could pop violently to the upside. There is so much tailwind at play when it comes to RDDT. I'll give you a fact to illustrate just one of them:

Reddit reported $311 million of free cash flow and had capital expenditures of just $1.1 million in Q1 2026.

I hope you've understood my tone surrounding this name during the 2025 memos and once again here today. Closing here with RBRK, having run up tremendously in the month of May, I'm interested in what sort of stock reaction occurs when earnings release on June 4th. For now, these two tickers remain in my top five holdings.

Looking Ahead

As we head into the dog days of summer, we are sure to realize fireworks in some fashion or another. I've spent the majority of this conversation discussing previously mentioned names and so I rightfully owe you a few forward looking ideas. I still believe everything to do with this market revolves around volatility and that imposed on it manipulatively. Trump has been the leading figure on this topic. Love him or hate him, he doesn't mind if you tag along for the ride either. Whether through tariffs, stimulus, or direct stock commentary, he affects the market, and we should invest accordingly. Below I'll discuss a few tickers I've been focused on recently.

Coincidentally, I've been in a stock since around November that was recently looped into a Trump trade, when he announced the government is preparing to fund US drone companies. Ondas Inc (ONDS) is a defense technology company I came across in early 2025 (via a friend in Pittsburgh) and I watched it for many months before ultimately entering below $7/share. It was purely a speculative play initially and has since turned into an investment for me. I recently added considerably to the position and raised my cost basis to $9.40/share. I believe adding this name close to $10/share can serve you well. If it runs wild before then, best to restrain yourself from chasing.

*1Y visual of ONDS

While I've got no current position in Symbiotic (SYM), the environment is almost warranting one. I can feel the pace picking up in robot-associated names across the market, that of which SYM is a sector leader. I'm about to start a position in SYM near $46/share. The stock has traded in the range of $45-60 per share for the majority of the last twelve months. Buying on the low end of that range gives you some needed cushion. Should we see a continued downtrend in the summer, I'll be looking to add lower on this name over time. Whenever it does break through the roof on this channel ($60+), it will be a big winner again. I urge you to review this company and the current set up in most every robotic name in the market.

*2Y visual of SYM

The last one we have recently been trying to make money on is our common friend CRK. If you haven't picked up a tendency of mine yet, I tend to trade names that are 1.) inherently volatile 2.) in a currently spotlighted sector or theme and 3.) in the thralls of a price over reaction to either specific or systemic events. CRK for the most part checks every box. While I do not think it is struggling fundamentally, the stock has continued its downtrend below our initial purchases of $15/share. In the last week, I've lowered our cost basis to $13.40/share. I'll sit on this for now with the expectation of selling back north of $17/share in the short term.

I'll follow up sometime around July 4th, but until then, I hope you have a sunny first half to your summer and feel free to reach out to discuss any specific stock you are considering.

All the best,

Luke Cagle
Cagle Family Interests, Ltd.